

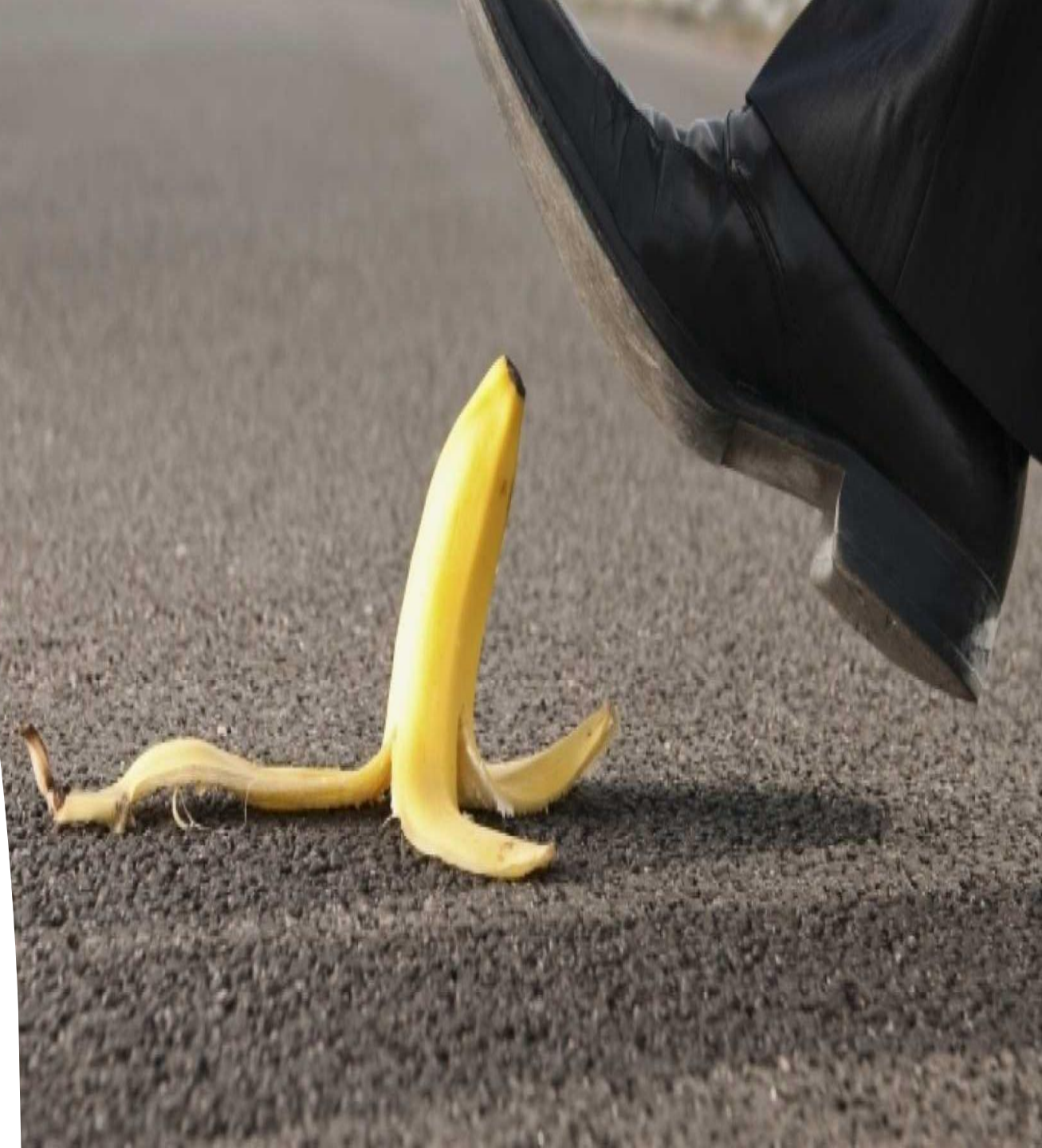
Entrepreneurship

Lean Startup and Business
Canvas model



Entrepreneurs make a lot of assumptions

Some of them are most likely
not right





If you think that you have an idea for a business and you think that you are actually able to build that business successfully than automatically making a lot of assumptions on both customers side and business side.

KEY ASSUMPTIONS

Customers have certain set of needs

Your solution idea addresses the need

The priority of needs

The customer will pay for them

You know customer want to buy



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You understand the cost structure

Certain Partner will work with you

You understand the key activities required

You will have excess to the resources you need

You can profitably deliver a solution

START-UP



The tip of iceberg

the **BIG** *Challenge*

THIS IS ONLY THE BEGINNING



Test Your Idea



- Role of Market Research
 - Record your assumptions as hypotheses
 - Business Model canvas
 - Test those hypotheses
 - Talk to key stakeholders
 - it depends on who you are going to talk

FORMULATE HYPOTHESIS:



"COMMUTERS WANT
TO BE ABLE TO ORDER
FOOD FROM THEIR CARS"



"PEOPLE ARE WILLING TO
ASSEMBLE THEIR OWN
FURNITURE AT HOME"



"PEOPLE ARE WILLING TO
PAY MONTHLY FOR BEING
ABLE TO STREAM UNLIMITED
MUSIC ONLINE"

The Startup Realty

- The grim reality is that most startups fail
- There are five essential elements that lead to successful startups



IDEA



**TEAM &
Execution**



BUSINESS MODEL



FUNDING



TIMING



How do they make money?



Product & service
sales



Subscription to a
service



Ad revenue



How do they make money?

KICKSTARTER

Commission



Freemium



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START-UP





Business model: Definition

A **business model** describes how an idea will create, capture, and deliver value.



What is Business Model

- A collection of Hypotheses based on assumptions.
- How an organization creates, delivers, and capture the value.
- A business model canvas template has been created by Alexander Osterwalder in 2005





Building your business model

You can visualize your business model using a **business model canvas**...

Key partners

What external partnerships should you invest in?

- Mentors?
- Lawyers?
- Distributors?
- Suppliers?

Key activities

What will your business spend the most time doing?

Product development?
Sales? Other?

Key resources

What will it cost for:

Manufacturing?
Intellectual property?
Human resources?

Value proposition

Customer relationships

What types of interactions will your customers expect to have with you?

Channels

How will customers find out about you?

How will you get products to them?

Customer segments

Who are your paying customers?

Do you have any non-paying customers?

How large is this group?

Do you have multiple customer segments?

Cost structure

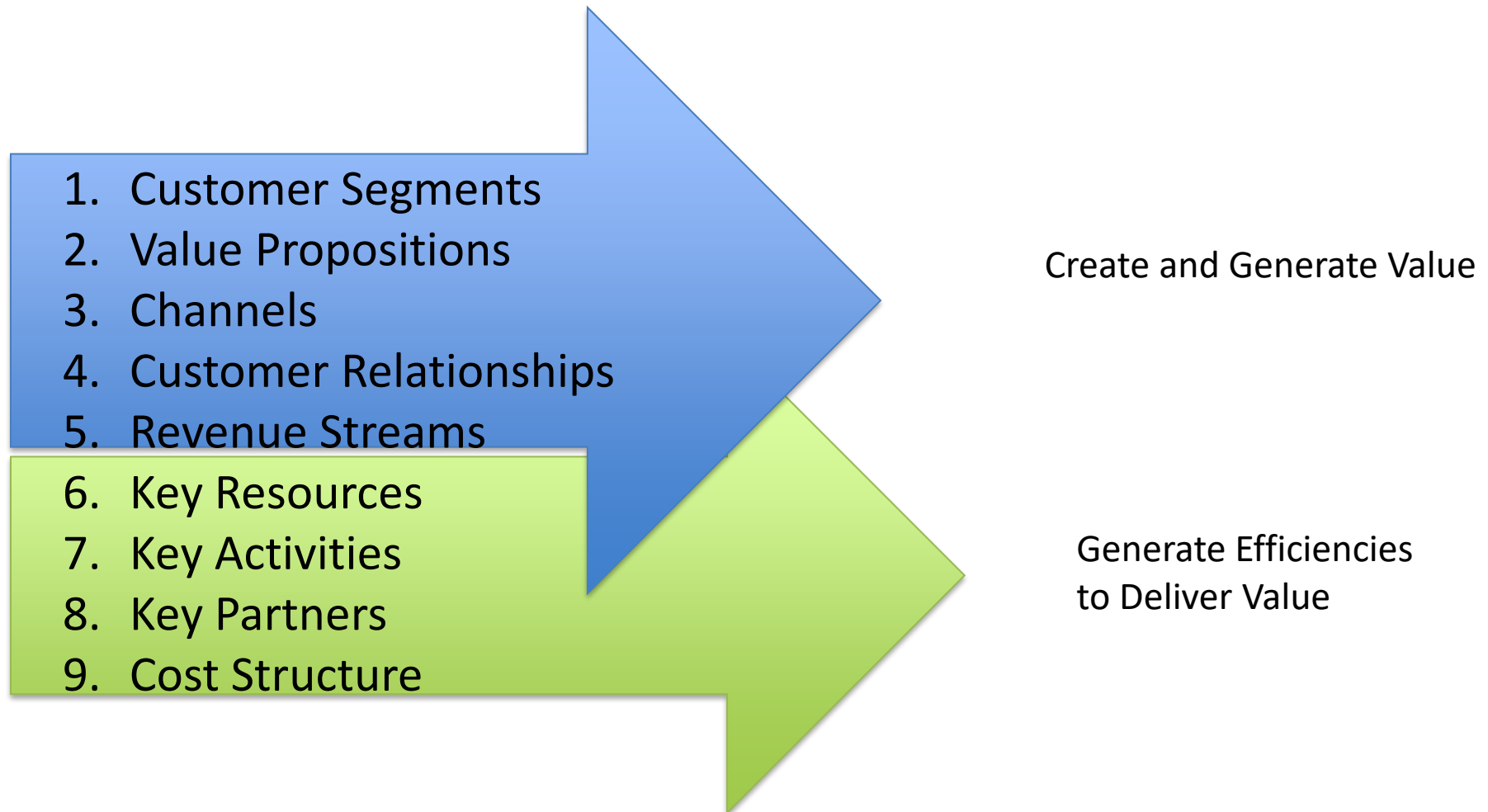
How much time and money will be required to do this?

Revenue streams

- How might you make \$ from this?
- What value, other than money, are you hoping to create?



Business Model Canvas Sections





Customer segments



- **What Are customer needs**
 - Different needs
 - Different channels
- **Key Focus**
- **Action steps**
 - Identify the customers segments
 - Choose your first segment
 - Is the market multisided?
 - Websites
 - YouTube/Facebook (Advertisers/Users)
 - Grocery stores
 - Wholesalers/ distributors/individual stores/consumers



Customer Relationships

- Customer relationships are purely based on their expectations
- How customers wants to buy/ what kind of experience you want to give to the customers? (Part of your value proposition)
- e.g Bookshop store (online vs physical store)
- **Goals**
 - Acquire
 - Retain
 - Up-sell
 - Referrals



Customer Relationships

Approaches:

- Transactional vs relationship
- Self service
- Dedicated personal assistance
- Community
- Co-Creation





Channels

- Marketing
 - Create awareness
 - Create Leads
- Sales
 - Engage with customers
 - Take orders
- Support



Channels

- Marketing
 - Trade shows
 - Blogs and Social media
 - Email marketing
 - Advertising
 - Technical conferences
 - Direct emails
- Sales
 - Web (e- commerce)
 - Direct salesforce
 - Distributors
 - Tele Sales
 - Manufacturing brokers
 - Original equipment manufactures (OEM)
 - Inn app Purchases
- Support
 - Websites
 - Online Chat
 - Customer care centers
 - User groups and forums
 - Phone



Channels

- **Channel Partners**
 - B2B
 - B2C
 - D2C
 - C2C or P2P
- **Early stage**
 - Guerilla Marketing
 - Direct sales
- **Geography expansion**
 - Lahore vs rural areas



Revenue streams

- **How will you charge**
 - One time fee
 - Recurring fee
 - Customer support
 - **Approaches** (Asset sales, Usage fee, subscription, renting, Licensing, advertising etc)
- **Who will you charge**
 - Paying or nonpaying customers
 - Multisided Markets
 - Freemium
 - User vs Advertiser
- **How you will price**
 - Fixed Pricing (list pricing/ per feature pricing)
 - Dynamic Pricing (Negotiation, Time & availability, Auctions etc)
- **What is your price**
 - How Customer want to pay
 - Competitive differentiations
 - Positioning
 - Cost structure
 - Perceived Value



Key Resources

- **Physical**
 - Manufacturing facility
 - Warehouses
 - Lab spaces
 - Machines/Vehicles
 - Web Servers
- **Intellectual**
 - Branding
 - Patents
 - Copyrights
 - Trademarks
 - Trade secrets
- **Human**
 - Researchers
 - Workers/staff
 - Marketing sale force
- **Financial**
 - Inventory
 - R&D
 - Debt funding



Key Activities

- **Production**
 - Designing
 - Making
 - Delivering
 - Marketing/Selling
- **Problem Solving**
 - Knowledge Management
 - Recruitment
 - Continuous trainings
 - Marketing/ selling
- **Software tools**
 - R&D
 - Recruiting
 - Marketing/ Selling
- **Platform/network**
 - R&D
 - Platform management
 - Service provisioning
 - Marketing/ Selling



Key Partners

- **Motivation**
 - Optimization & Economies of scale
 - Reduction of risk
 - Resource acquisition
- **Types of Partnerships**
 - Strategic alliances
 - Coopetition
 - Joint ventures
 - Buyer-suppliers
 - Distribution channels



Cost structures

- **Strategy**
 - Cost Driven (Imtiaz, Xoimi)
 - Value Driven (apple, Alfath)
- **Categories of cost**
 - Variable cost (raw material, Labor, server usage fee)
 - Fixed cost (Salaries, Rent, Building)
- **Economies**
 - Of Scale
 - Volume of discounts
 - Of Scope
 - Vertical integration

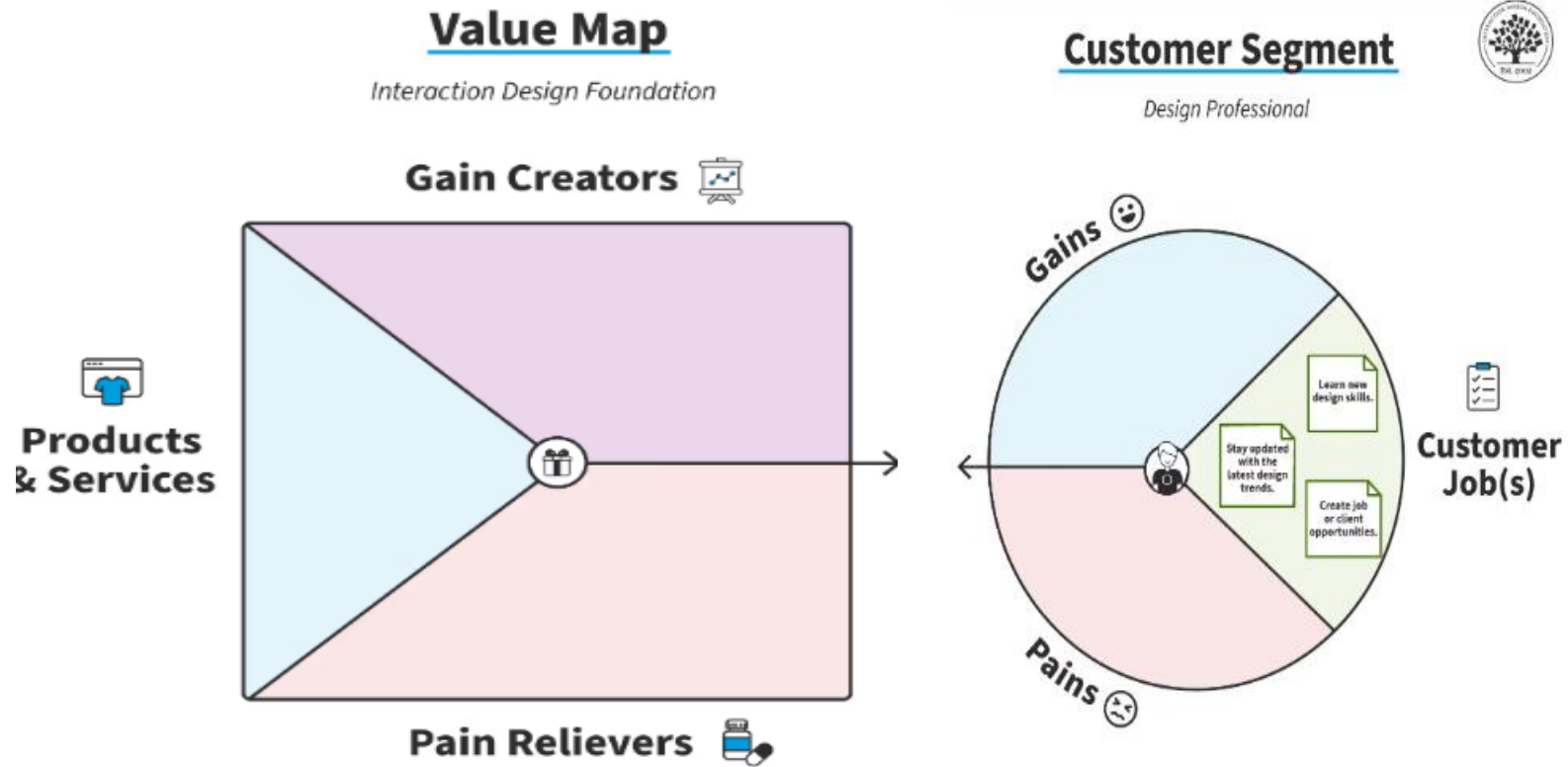


Value Proposition

- Who is the customer
- Job/pain/gain
- Product features
- Customer dissatisfaction
- Customer Preference
- The value to the customer
 - Hedonic needs
 - Utilitarian needs



Value proposition canvas





Value Proposition



- It's the key differentiator
- Five distinct value drives to compete in the market
 - Price
 - Quality
 - Flexibility
 - Delivery
 - Service

The best in one and equals to the market in other



How to test your business model

It's all about testing all assumptions you have made on nine building blocks through testable hypotheses?

<https://www.youtube.com/watch?v=d0NyQN3LEQ4>



3 Key Steps of Successful Business Model Validation

- Identify and track your assumptions with the business model canvas
- Test your assumptions in the field with customers and pivot if your model is wrong
- Demonstrate that you have gained market validation using feedback from actual customer





How to test your business model

- Customers Interviews
- Entrepreneurs
- Channel Partners
- Contract Financial services

Key partners

Who can you ask to invest their time and energy to help you?

- Teachers?
- Peers?
- Parents?
- Subject experts?

Key activities

What specific tasks must you do to get your idea off the ground?

Key resources

What materials should you invest in?

YOUR IDEA

Project idea

Lesson idea

Thesis statement

Hypothesis

Customers relationships

What kind of relationship are you trying to build with your audience?

Channels

What are some different ways of presenting your idea?

Customers segments

Who is your idea for?

What are the needs of this group?

Why would they find your idea valuable?

The cost of your idea

- Time investment
- Which collaborators would be valuable to invest in?
- Material investment

The value of your idea

- Social value
- Academic value
- Monetary value

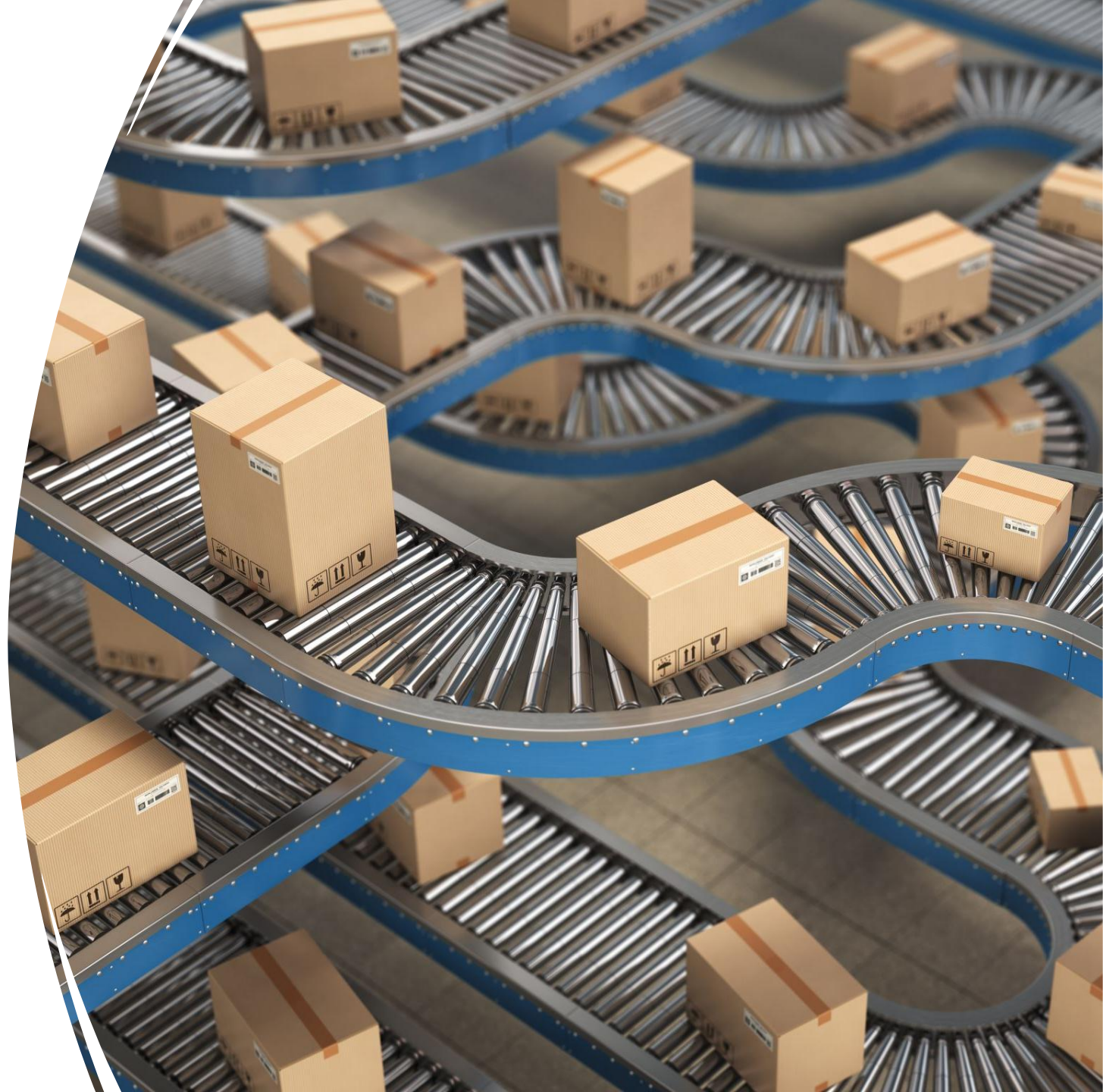
Lean Startups

- **LEAN STARTUP** is an approach to business development that is based on the application of **LEAN PRODUCTION** to innovation.
- Guide to how drive a Start-up, build and maintain products.

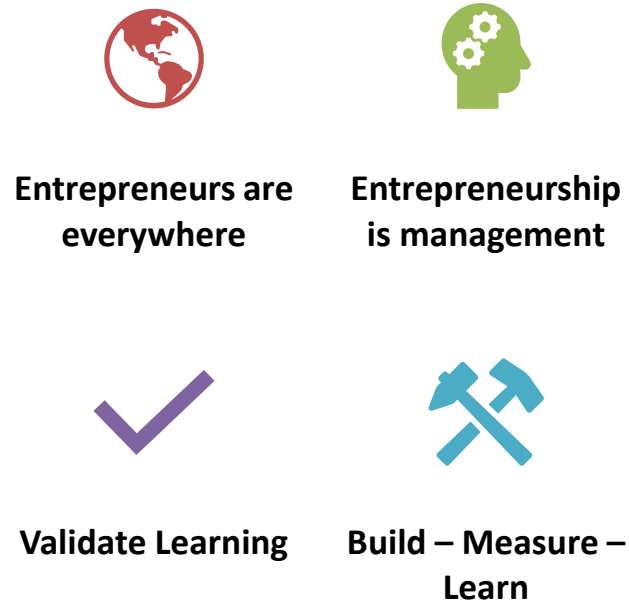


ROOTS OF THE LEAN STARTUP

- Lean manufacturing revolution in the Toyota production system.
- Lean manufacturing/Production involves the following:
 - Know your customer
 - Eliminate waste
 - Shrink batch size
 - Just-in-time production
 - Acceleration of cycle times

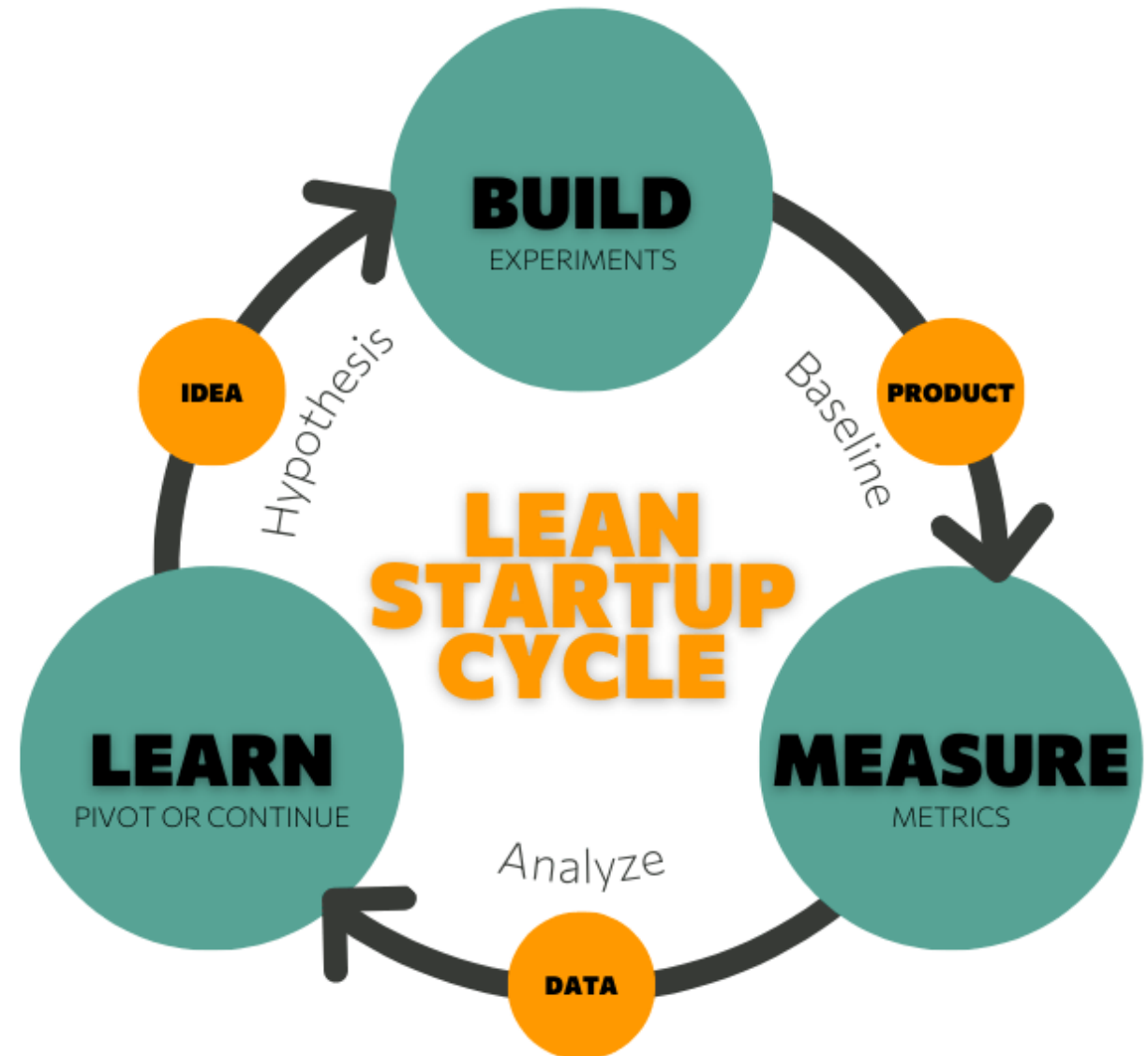


PRINCIPLES OF LEAN STARTUP

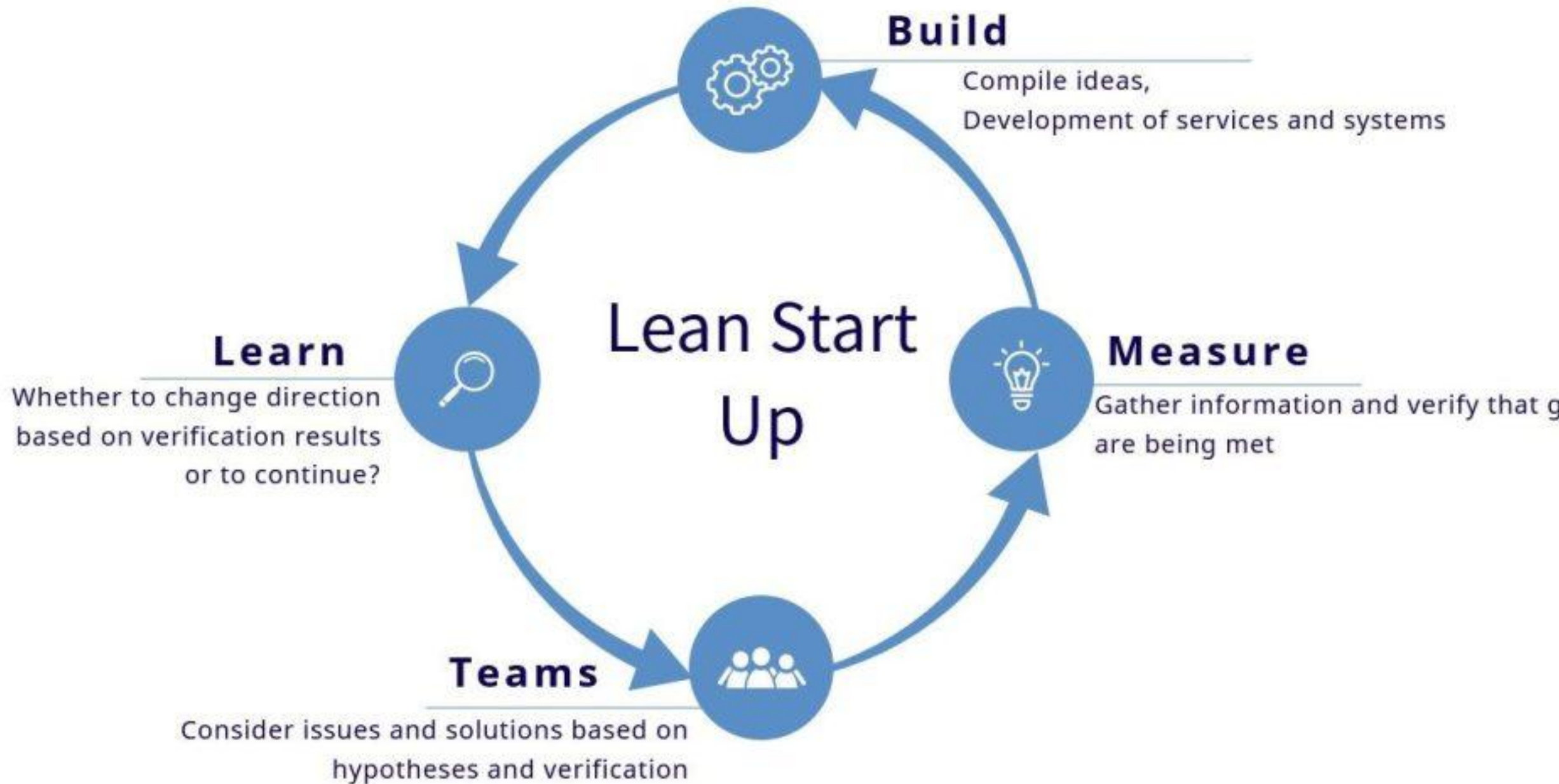


THE METHOD

LEAN STARTUP

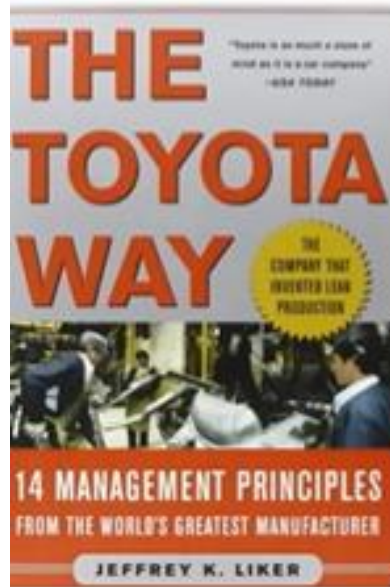


Lean Start Up



MVP

(MINIMUM VIABLE PRODUCT)



EVERYTHING THAT
DOESN'T CREATE
VALUE FOR THE
CUSTOMERS IS WASTE

EVERYTHING THAT
DOESN'T LEAD TO
VALIDATED LEARNING
IS WASTE



Lean Startups in Practice

- Measure customer acquisition cost, lifetime value.
- Create an MVP.
- Emphasis on learning and speed rather than secrecy.
- Encourages sustainable innovation across sectors.

Lean	Traditional
Strategy	
Business Model Hypothesis-driven	Business Plan Implementation-driven
New-Product Process	
Customer Development Get out of the office and test hypotheses	Product Management Prepare offering for market following a linear, step-by-step plan
Engineering	
Agile Development Build the product iteratively and incrementally	Agile or Waterfall Development Build the product iteratively, or fully specify the product before building it
Organization	
Customer and Agile Development Teams Hire for learning, nimbleness, and speed	Departments by Function Hire for experience and ability to execute
Financial Reporting	
Metrics That Matter Customer acquisition cost, lifetime customer value, churn, virallness	Accounting Income statement, balance sheet, cash flow statement
Failure	
Expected Fix by iterating on ideas and pivoting away from ones that don't work	Exception Fix by firing executives
Speed	
Rapid Operates on good-enough data	Measured Operates on complete data